SESSION 7 · CANADA’S PRODUCTIVITY PROBLEM

Should Canada adopt AI like a middle-income country?

And what changes once we take Canada’s distinctive features seriously?

“Canada should approach AI more like a middle-income country, absorbing and spreading the world’s best technology, than like a frontier economy trying to invent it.”

THE OP-ED’S BET

Investment

Build up capital: machines, infrastructure, skills

Low income

+ Infusion

Bring in the world’s technology and business practices, and spread them across firms

Lower-middle income

+ Innovation

Push the frontier with new ideas of your own

Upper-middle income and beyond

Source: World Bank, World Development Report 2024: The Middle-Income Trap (the “3i” strategy).

Canada is falling behind at the first step: investing in its workers' capital

54¢

invested per worker for every U.S. dollar, 2024

Down from 87¢ in 2014.

–9%

capital per worker since 2015

Machinery and equipment per worker are down about 20%.

73%

business productivity vs the U.S., 2019

Down from 83% in 2002.

Sources: Fraser Institute, business investment per worker, 2007–2024 (2026); C.D. Howe Institute, Canada's Investment Crisis (2025; data to Q3 2025); Statistics Canada, the Canada–U.S. productivity gap (2025).

Canadian firms have caught up on trying AI, but few have rebuilt their work around it

19%

of businesses used AI in the past year

Q2 2026, up from 6% in 2024; about the U.S. level.

8%

use AI significantly in their core operations

Most use it to draft documents and analyze data.

60%

Ottawa's target for business AI use by 2034

Set in "AI for All," June 2026.

Sources: Statistics Canada, AI use by businesses, Q2 2026; Bank of Canada (Aug 2026); U.S. Census Bureau BTOS via The Hub (Jun 2026); Government of Canada, AI for All (2026).

BUZZ · 5 MINUTES

Make the strongest case against the op-ed’s premise

1. What would a critic who thinks Canada should compete at the frontier say?
2. What does the “middle-income” comparison get wrong about Canada?
3. What evidence would change your vote?

Our op-ed's prescriptions would fit almost any rich country that lags in AI

1	**Measure depth, not breadth**	Target firms that rebuild core work around AI
2	**Get small firms over the J-curve**	Hands-on implementation help before the disruption
3	**Make incumbents compete**	Use competition policy to create the threat of losing customers
4	**Give regulatory clarity early**	Sector rules and supervised testing before firms invest
5	**Government as lead adopter**	Public institutions create demand and demonstration effects

What would an AI adoption strategy designed for Canada actually look like?

Canada is “spiky”: 12 ways its economy differs from its peers

1. **Small firms are overrepresented**
   Most work happens in firms that are small by international standards
2. **A resource-heavy economy**
   Mining, forestry, farming and fishing loom large (energy is Group 3)
3. **A potential energy superpower**
   Oil, gas, uranium and hydro, across the whole energy system
4. **Vast and cold**
   Huge distances, a harsh climate, few people outside the cities
5. **Sheltered industries**
   A few firms serve almost everyone in banking, telecoms, grocery and air travel
6. **One dominant export market**
   Most exports go to one market, now raising tariffs
7. **10 provinces, 10 markets**
   Provinces run health, education, licensing and much trade regulation
8. **The branch-plant economy**
   Many firms are owned and run by foreign multinationals
9. **Growth by immigration**
   Population growth driven almost entirely by immigration
10. **The education paradox**
    Highly educated workers; management and R&D lag
11. **Houses and pensions**
    Capital flows to housing; big pension funds invest heavily abroad
12. **Indigenous rights and data**
    Constitutional rights, the duty to consult, and Indigenous data governance

GROUPS · 25 MINUTES

Your job: design AI adoption policy around one spike

Not: “How should Canada fix its spike?” **Instead:** “Given this spike, how do we get firms to use AI deeply?”

1	**AI opportunity**	How does your spike make AI adoption easier, more valuable, or different in Canada?
2	**AI adoption challenge**	How does your spike slow, block or distort AI adoption, and for which firms or people?
3	**AI strategy design**	What should Canada’s AI strategy include to seize the opportunity and overcome the challenge?

The AI test: if your proposal would make just as much sense with the word “AI” deleted, it isn’t an AI adoption policy. Name the AI use, the firms that would adopt it, the instrument, who delivers it, and how you’d measure deeper use.

Worked example: two official languages (not one of your 12)

Suppose the spike were: "Canada has two official languages, and Québec's economy works mostly in French."

TOO GENERAL

"Fund French-language training for workers."

"Give grants to Québec's small businesses."

Both still make sense with "AI" deleted. They fail the AI test.

AI-SPECIFIC

1	**AI opportunity**	Firms that work in both languages can serve two markets with the same AI tools, and Montréal has a deep pool of AI researchers.
2	**AI challenge**	Many AI tools work less well in French, and Québec's language and privacy rules add steps before firms can deploy them.
3	**AI design**	Independent testing of leading AI tools in French, published for small firms; bilingual requirements in federal AI purchasing; a joint Ottawa–Québec compliance guide.

Judge your design the way a policy analyst would

1 Rationale

What failure does it fix?

Small firms can't tell which AI vendors deliver: an information gap.

2 Additionality

Would it happen anyway?

Subsidizing tools firms were already buying adds nothing.

3 Effectiveness

Does it change what firms do?

Count AI in core processes, not sign-ups or licences.

4 Cost vs benefit

Is the gain worth the money?

Cost per firm that's still using AI deeply two years on.

5 Equity

Who gains, and who pays?

Rural firms, displaced workers, regions, communities.

6 Feasibility

Can it be delivered, and survive politics?

Who has jurisdiction? Is there capacity to run it?

7 Trust and risk

Is it safe, private and legitimate?

Data use, privacy, security, sovereignty.

8 Adaptability

Will it still work when AI changes?

Tools change every few months; build in review.

You won't score well on all eight. Know which criterion your design is weakest on, and be ready to defend the trade-off.

Sources: adapted from Bardach and Patashnik, A Practical Guide for Policy Analysis; Weimer and Vining, Policy Analysis: Concepts and Practice; OECD DAC evaluation criteria (2019).

Fill in one grid per group, and be ready to report in 60 seconds

1 AI opportunity

What your spike makes easier or more valuable for AI adoption

2 AI adoption challenge

What your spike makes harder, and for which firms

3 AI strategy design

AI use · instrument · who delivers · which firms · how you'd measure deeper use

Your evidence

Which fact on your slide matters most for your design, and why?

Your weakest criterion

Which of the eight tests does your design score worst on? Why accept that?

Your headline

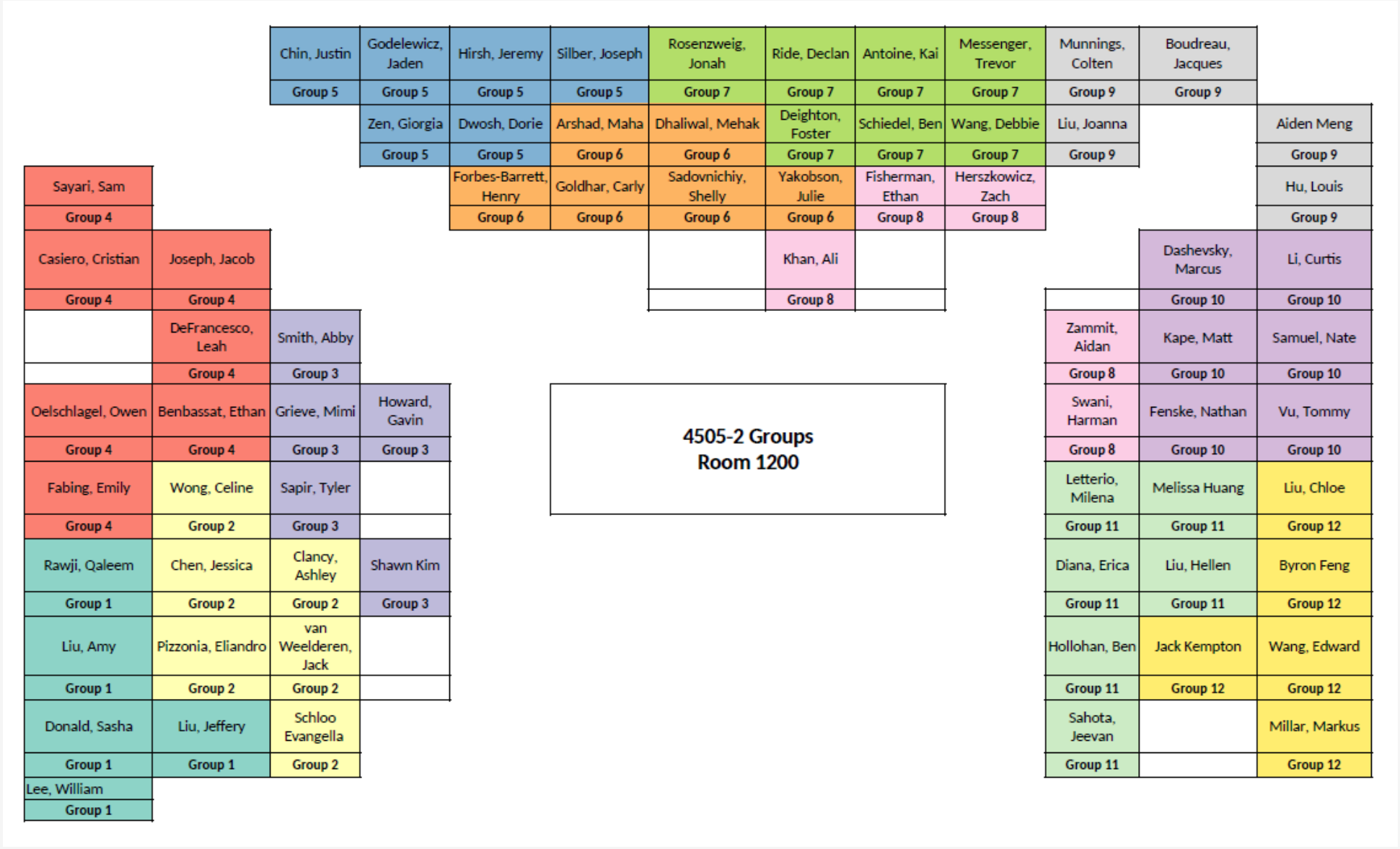
"Because Canada is ___, its AI adoption strategy should ___."

Group assignments – move if necessary (section 1)

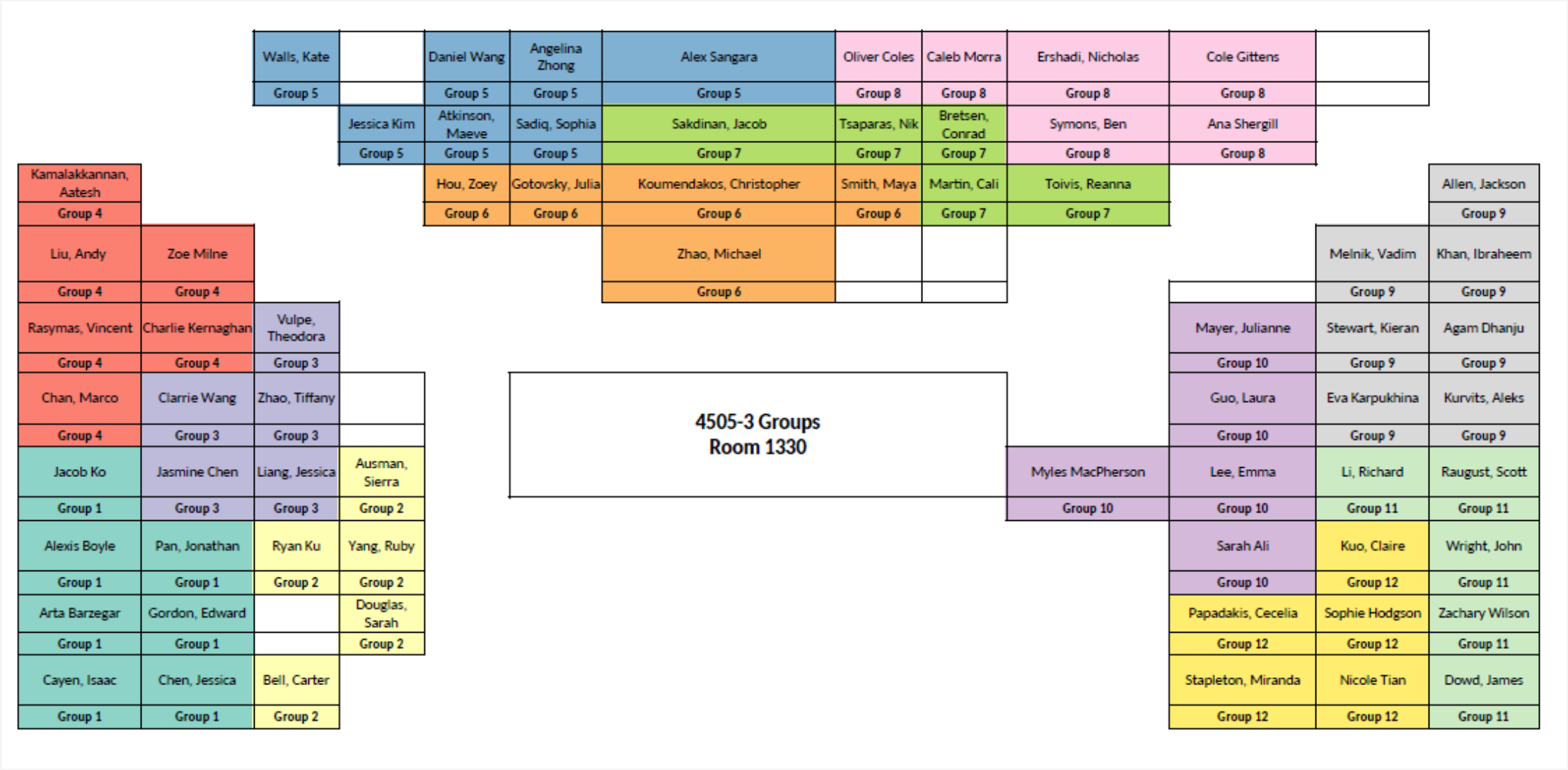
			Hossain, Jibran	Wade, Pearl	Yu, Clair	Meathrel, Will	Hampel, Joshua	Kirk, Michael	Aujla, Ishaan	Secco, Ben	Chen, Chris	Jason Yuan	
			Group 5	Group 5	Group 5	Group 7	Group 7	Group 7	Group 7	Group 8	Group 8	Group 8	
Jain, Aaryan				Wasel, Sammi	Wang, Olivia	Charlie Larock	Bouthot, Olivier	White, Alyssa	Williams, Brooke	Di Maulo, Kirsten	Menezes, Neesa		Ng, Nicholas
Group 5				Group 5	Group 5	Group 7	Group 7	Group 7	Group 8	Group 8	Group 8		Group 8
Vlaad, Dylan					Fraser, AJ	Kraus, Will	D'Amato, Stefan	Goldenberg, Lucas	Brecht, Andrew	Rizzo, Paul			Liang, Karen
Group 4					Group 6	Group 6	Group 6	Group 6	Group 9	Group 9			Group 10
Efraimidis, Giorgio	Woodcock, Dylan						Liu, Helen		Harrison, Callum			McPhail, Josh	Lai, Victoria
Group 4	Group 4						Group 6		Group 9			Group 10	Group 10
MacKenzie, Liam	Tario, Will	Bradwin, Max									Duffy, Victoria	Menezes, Andrew	Huang, Angela
Group 4	Group 3	Group 3									Group 9	Group 10	Group 10
Li-Wu, Nicholas	Nuernberger, Ryan	Gill, Satveer									Butt, Zaina	Chiu, Kelly	Hu, Alyssa
Group 4	Group 3	Group 3									Group 9	Group 10	Group 10
Drenova, Deiv	Whitmore, Dylan	Woodburn, Ava									Bell, Leah	Kalra, Yogya	
Group 1	Group 3	Group 2									Group 11	Group 11	
Paquette, Ethan	Carter, Fionnlagh	Curran, Vanessa	Tran, Jackie								Russo, Erica	Sharma, Pragalvha	Maly, Dennis
Group 1	Group 1	Group 2	Group 2								Group 11	Group 11	Group 12
Todd, Jase	Crawford, Keaton	Hippel, Ethan									Menshari, Jilahn	Mair, Alyssa	Benghiat, Ely
Group 1	Group 1	Group 2									Group 11	Group 12	Group 12
Bednarz, Victoria	Want, Emmy	Chen, Marco									Marguerite Kukucska	Evans, Robbie	Krupski, Jonah
Group 1	Group 1	Group 2									Group 11	Group 12	Group 12

4505-1 Groups
Room 1200

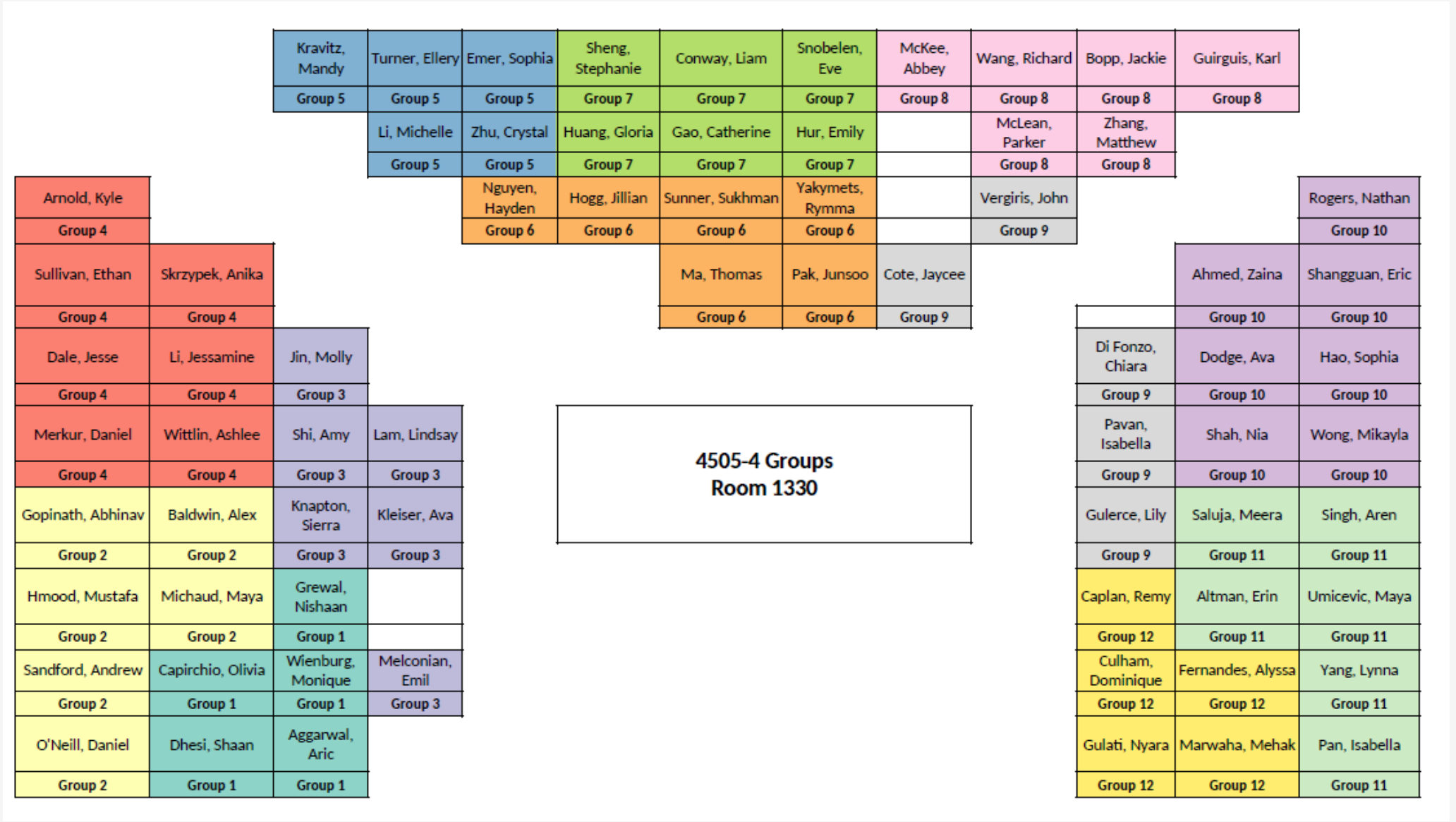
Group assignments – move if necessary (section 2)



Group assignments – move if necessary (section 3)



Group assignments – move if necessary (section 4)



		Kravitz, Mandy	Turner, Ellery	Emer, Sophia	Sheng, Stephanie	Conway, Liam	Snobelen, Eve	McKee, Abbey	Wang, Richard	Bopp, Jackie	Guirguis, Karl
		Group 5	Group 5	Group 5	Group 7	Group 7	Group 7	Group 8	Group 8	Group 8	Group 8
			Li, Michelle	Zhu, Crystal	Huang, Gloria	Gao, Catherine	Hur, Emily		McLean, Parker	Zhang, Matthew	
			Group 5	Group 5	Group 7	Group 7	Group 7		Group 8	Group 8	
Arnold, Kyle				Nguyen, Hayden	Hogg, Jillian	Sunner, Sukhman	Yakymets, Rymma		Vergiris, John		Rogers, Nathan
Group 4				Group 6	Group 6	Group 6	Group 6		Group 9		Group 10
Sullivan, Ethan	Skrzypek, Anika					Ma, Thomas	Pak, Junsoo	Cote, Jaycee		Ahmed, Zaina	Shangguan, Eric
Group 4	Group 4					Group 6	Group 6	Group 9		Group 10	Group 10
Dale, Jesse	Li, Jessamine	Jin, Molly								Di Fonzo, Chiara	Dodge, Ava	Hao, Sophia
Group 4	Group 4	Group 3								Group 9	Group 10	Group 10
Merkur, Daniel	Wittlin, Ashlee	Shi, Amy	Lam, Lindsay							Pavan, Isabella	Shah, Nia	Wong, Mikayla
Group 4	Group 4	Group 3	Group 3							Group 9	Group 10	Group 10
Gopinath, Abhinav	Baldwin, Alex	Knapton, Sierra	Kleiser, Ava							Gulerce, Lily	Saluja, Meera	Singh, Aren
Group 2	Group 2	Group 3	Group 3							Group 9	Group 11	Group 11
Hmood, Mustafa	Michaud, Maya	Grewal, Nishaan								Caplan, Remy	Altman, Erin	Umicevic, Maya
Group 2	Group 2	Group 1								Group 12	Group 11	Group 11
Sandford, Andrew	Capirchio, Olivia	Wienburg, Monique	Melconian, Emil							Culham, Dominique	Fernandes, Alyssa	Yang, Lynna
Group 2	Group 1	Group 1	Group 3							Group 12	Group 12	Group 11
O'Neill, Daniel	Dhesi, Shaan	Aggarwal, Aric								Gulati, Nyara	Marwaha, Mehak	Pan, Isabella
Group 2	Group 1	Group 1								Group 12	Group 12	Group 11

4505-4 Groups
Room 1330

Group assignments: one spike per group

GROUP 1
Small firms carry the economy

GROUP 2
A resource economy

GROUP 3
An energy superpower

GROUP 4
Vast and cold

GROUP 5
Sheltered industries

GROUP 6
One dominant export market

GROUP 7
Ten provinces, ten markets

GROUP 8
The branch-plant economy

GROUP 9
Growth by immigration

GROUP 10
The education paradox

GROUP 11
Houses and pensions

GROUP 12
Indigenous rights and data

About 5–6 students per group. Your feature slide is on the LMS. Group 2: resources other than energy. Group 3: energy.

REPORT BACK · 20 MINUTES

Which spikes change the strategy, and which only change the details?

Changes the strategy

A different priority, instrument or target

Changes the details

Same strategy, adjusted delivery

Just an excuse

Not really distinctive, or has no design answer

POLL · 2 MINUTES

Vote again: has Canada’s spikiness changed your view of the premise?

1	2	3	4	5
Strongly disagree	Disagree	Unsure	Agree	Strongly agree

If your vote moved, which feature moved it?

Eh-xit? What leaving would cost Alberta

Brexit was 'cakewalk' compared to what Alberta separation would entail, U of C economist warns

EMMA GRANEY
ENERGY REPORTER

The years-long trade wrangling and uncertainty that faced Britain in the wake of the Brexit vote was a "cakewalk" compared with what Alberta's separation from Canada would involve, according to the author of a new report about the economic implications of secession.

Trevor Tombe, a University of Calgary economist, penned the report for the Calgary Chamber of Commerce. Released Tuesday in the midst of a heated campaign over provincial separation, the analysis concluded that investment in Alberta could fall between 12 and 18 per cent if the province pursues secession, and coffers risk swinging from a $19-billion annual surplus to a $9-billion deficit.

Voters are preparing to decide on Oct. 19 whether to remain in Canada or lay the legal groundwork for a second, binding referendum on separation.

At the heart of Prof. Tombe's report is a warning about just how trade-exposed Alberta's economy is, and the extent to which jobs and investment in the province

prise more than 346,000 jobs across manufacturing, finance, real estate, professional services, tourism and agriculture. Excluding oil and gas, international exports account for approximately 15 per cent of Alberta's total income.

Interprovincial trade generates about $78-billion in income for Alberta workers and businesses, or roughly 16 cents of every dollar earned in the province. Exports account for about 39 per cent of total provincial income, or nearly $180-billion.

> Investment in Britain is between 12 to 18 per cent lower now than it would have otherwise been as a result of Brexit, 'primarily because it's prudent to pause costly decisions that are difficult to reverse,' Prof. Tombe told media in Calgary on Tuesday.

Those who support separation often point to equalization pay-

safe bet for the next 30, 40 years.

"That investment thesis has to stand up, and that's where businesses are going to be very focused in terms of what comes next."

Tuesday's report comes alongside an open letter, signed by 11 high-profile executives in the province, urging Albertans to choose to remain in Canada.

Among the signatories are AltaGas CEO Vern Yu; Nancy Southern, CEO at ATCO Ltd.; AltaLink president Paul Lee and Dean Setoguchi, the CEO of Keyera.

Tuesday's report joins a slew of other separation analyses that drew similar results about substantial economic risks to Alberta.

The University of Calgary's School of Public Policy earlier this month published a sweeping report on the various costs of Alberta abandoning Confederation and becoming a sovereign country. (Prof. Tombe also helped author that report.)

The study, commissioned by Premier Danielle Smith's government, found that separation would likely cost the province billions and carry grim economic consequences: lower wages, declining GDP and billions in new

What are the key costs of leaving Canada, for Alberta? Make a list of 3. For each, specify whether you think this is mainly short-run, or long-run.

Buzz up 5 min

Lessons from Brexit

The Economic Impact of Brexit
Nicholas Bloom, Philip Bunn, Paul Mizen, Pawel Smietanka, and Gregory Thwaites
NBER Working Paper No. 34459
November 2025
JEL No. E0

ABSTRACT

This paper examines the impact of the UK's decision to leave the European Union (Brexit) in 2016. Using almost a decade of data since the referendum, we combine simulations based on macro data with estimates derived from micro data collected through our Decision Maker Panel survey. These estimates suggest that by 2025, Brexit had reduced UK GDP by 6% to 8%, with the impact accumulating gradually over time. We estimate that investment was reduced by between 12% and 18%, employment by 3% to 4% and productivity by 3% to 4%. These large negative impacts reflect a combination of elevated uncertainty, reduced demand, diverted management time, and increased misallocation of resources from a protracted Brexit process. Comparing these with contemporary forecasts – providing a rare macro example to complement the burgeoning micro-literature of social science predictions – shows that these forecasts were accurate over a 5-year horizon, but they underestimated the impact over a decade.

GROUP FACT SHEETS

Twelve ways Canada is spiky

One slide per group. Share on the LMS at the start of the group work.

GROUP 1 · SMALL FIRMS

Canada’s economy runs on small firms far more than the U.S. economy does

Most Canadian work happens in firms that are small by international standards, and those firms lag their U.S. counterparts most.

98%

of employer businesses have fewer than 100 employees

December 2024. They employ 47% of private-sector workers.

66% vs 50%

of hours worked are in small firms: Canada vs U.S.

2019. Here “small” means 500 or fewer employees.

58% vs 45%

of business-sector GDP comes from small firms

Canada vs U.S., 2019.

70%

small Canadian firms’ productivity vs U.S. small firms

Large Canadian firms reach 87% of their U.S. peers.

6 of 27

points of the Canada–U.S. productivity gap due to firm-size mix

2019. Canada was at 73% of U.S. productivity.

20% vs 28%

of firms use AI: 1–4 employees vs 100 or more

Q2 2026. All firms: 19%.

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: ISED, Key Small Business Statistics 2025; Statistics Canada, “The role of firm size in the Canada–U.S. labour productivity gap since 2000” (Dec 2025); Statistics Canada, AI use by businesses, Q2 2026.

GROUP 2 · A RESOURCE ECONOMY

Canada still earns much of its living from what it digs, cuts, grows and catches

This group covers mining, forestry, farming and fishing. Energy is Group 3's feature, so don't go deep on it here.

53%

of merchandise exports are natural-resource products

2024, including energy. 75% of them go to the U.S.

~5% · ~1%

of GDP from minerals and metals · from forestry

2024. Minerals: 724,000 jobs. Forestry: about 194,000.

#1

potash producer in the world

Also 3rd in palladium. Top exporter of softwood lumber.

$100B

of agri-food and seafood exports

2024. Canada is the world's 9th-largest exporter.

−42%

fall in Canada's commodity price index, 2014 to 2016

Then +108% from 2020 to 2022.

4.5%

of farm, forestry and fishing firms use AI

The lowest of any industry. All firms: 19% (Q2 2026).

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: Natural Resources Canada, 10 Key Facts (2024 data) and Minerals Sector facts (2025); State of Canada's Forests 2025; Agriculture and Agri-Food Canada; Bank of Canada commodity price index (annual); Statistics Canada, AI use by businesses, Q2 2026.

GROUP 3 · AN ENERGY SUPERPOWER

Canada ranks near the top of the world in almost every form of energy

This group covers the whole energy system: oil, natural gas, uranium, hydroelectricity and the power grid.

4th

largest oil reserves and oil producer in the world

163 billion barrels proven; 97% of it in the oil sands.

5th · 2nd

largest producer of natural gas · of uranium

2023 rankings.

3rd

largest producer of hydroelectricity

Hydro supplied 55% of Canada's electricity in 2025.

80%

of electricity comes from non-emitting sources

2023: hydro, nuclear (about 14%), wind and solar.

27%

of merchandise exports are energy

2025. 97% of crude oil exports go to the U.S.

−10%

fall in electricity exports to the U.S. in 2025

A second dry year cut hydro output; imports rose 8%.

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: Natural Resources Canada, Energy Fact Book (Spring 2026) and crude oil overview; NRCan Energy Facts (clean power); Statistics Canada, Electricity year in review 2025 (Mar 2026).

GROUP 4 · VAST AND COLD

Canada spreads few people across a huge, cold country, then crowds most of them into a few cities

Distance, climate and density shape where firms locate, how goods move, and who is connected.

4 vs 37

people per square kilometre: Canada vs U.S.

World Bank, 2023. Canada is the 2nd-largest country by area.

76%

of Canadians live within 160 km of the U.S. border

2021 Census, per Statistics Canada.

75%

live in a census metropolitan area

July 2025. Toronto, Montréal and Vancouver alone: about 36%.

−3.6°C

average annual temperature

1995–2014. Warming about 0.35°C per decade since 1970.

~180

remote communities not connected to the North American power grid

Most are Indigenous or Northern; over half are fly-in only.

10% vs 21%

of businesses use AI: rural vs urban

Q2 2026. Rural households with 50/10 broadband: 83% (96% nationally).

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: World Bank (via Trading Economics); Statistics Canada (2021 Census; CMA estimates, Jan 2026; AI use, Q2 2026); World Bank Climate Change Knowledge Portal; Canada Energy Regulator (2023); CRTC Communications Market Report 2026.

GROUP 5 · SHELTERED INDUSTRIES

In several core industries, a handful of firms serve almost every Canadian

Banking, telecoms, grocery and air travel are concentrated, and Canada's rules restrict competition more than most rich countries'.

94%

of banking assets are held by the six largest banks

IMF, 2025.

86%

of mobile subscribers are with the three national carriers

2024. They earn 89% of mobile revenue.

5

firms dominate grocery: Loblaw, Sobeys, Metro, Costco and Walmart

The top three had over $100B in sales in 2022.

56–78%

of domestic passengers at major airports fly Air Canada or WestJet

Competition Bureau, 2025.

26th of 38

Canada's OECD rank on product-market regulation

2023. It ranked 10th in 1998.

3×

Canada's restrictiveness on foreign investment vs the G7 average

OECD index, 2020 data.

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: IMF, Canada FSSA (2025); CRTC Communications Market Report 2026; Competition Bureau, grocery market study (2023) and airline competition report (2025); OECD PMR via TD Economics (2025) and Business Council of Alberta; Global Affairs Canada, Chief Economist (2023).

GROUP 6 · ONE DOMINANT EXPORT MARKET

Canada sells most of its exports to one customer, and that customer has raised tariffs sharply

Trade is a large part of Canada's economy, and almost all of it runs north–south.

72%

of merchandise exports went to the U.S. in 2025

Down from 76% in 2024.

~6%

went to the next-largest market, the U.K.

2025. China took about 4%.

32% vs 11%

exports as a share of GDP: Canada vs U.S.

2024.

25–50%

U.S. tariffs on Canadian autos (non-U.S. content), steel and aluminum

Since 2025. Tariff rules changed repeatedly in 2026.

+17%

growth in exports to countries other than the U.S., 2025

Exports to the U.S. fell 5.8%.

2×

Ottawa's goal for non-U.S. exports within a decade

Budget 2025: $300 billion more in trade.

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: Statistics Canada, The Daily (Feb 19, 2026); Global Affairs Canada, State of Trade 2025; World Bank (via Trading Economics); Blakes, U.S.–Canada tariffs timeline (Sept 2026); Budget 2025, Chapter 2.

GROUP 7 · TEN PROVINCES, TEN MARKETS

Canada is one of the most decentralized federations in the world

Provinces run health care, education, professional licensing, natural resources and much of the regulation of trade.

64%

of government spending is by provinces and local governments

OECD average: 37%. Federal countries: 44% (2020).

13

provincial and territorial health systems, each the single public payer

Public sector: 71% of health spending (2025).

21%

estimated tariff-equivalent of barriers to trade between provinces

IMF, 2019 (2015 data). Removing them: GDP per capita up ~4%.

June 2025

a federal law removed federal barriers to internal trade

Provinces must remove their own.

Provincial

licensing of most regulated professions

For example, medicine, nursing, law, engineering and teaching.

Crown firms

provinces own major utilities and, in some, auto insurers

Hydro-Québec, BC Hydro; ICBC, SGI and MPI.

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: OECD/UCLG World Observatory on Subnational Government Finance (2020 data); CIHI, National Health Expenditure Trends 2025; Alvarez, Krznar and Tombe, IMF WP/19/158 (2019); Government of Canada (Bill C-5, June 2025); ESDC (2026).

GROUP 8 · THE BRANCH-PLANT ECONOMY

Many of Canada’s largest businesses are owned, and run, from abroad

Foreign multinationals, above all American ones, dominate key industries, exports and business R&D.

44%

of manufacturing assets are foreign-controlled

2024. Wholesale 49%; oil and gas 32%; mining 32%.

56%

of foreign-controlled assets are controlled from the U.S.

2024.

56%

of Canada’s goods exports come from foreign multinationals

2024.

2.7M

jobs are in foreign multinationals’ Canadian operations

2024.

~40%

of business R&D in Canada is done by foreign-controlled firms

2022; 38–44% depending on the definition.

14%

of all corporate assets are foreign-controlled

2024. Down 7 points since 2010.

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: Statistics Canada, Foreign control in the Canadian economy, 2024 (June 2026); Activities of multinational enterprises (Dec 2025); R&D by multinationals (Dec 2024) and gross domestic expenditures on R&D.

GROUP 9 · GROWTH BY IMMIGRATION

Canada’s population grew faster in 2023 than at any time since 1957, then slowed to its lowest rate in a century

Almost all of Canada’s population growth comes from immigration, and policy now sets its pace.

3.2%

population growth in 2023

The fastest since 1957. 98% came from international migration.

0.5%

population growth, July 2025 to July 2026

The lowest July-to-July rate in over a century.

−1.3% · −1.4%

change in real GDP per person, 2023 · 2024

As first published. Total real GDP grew in both years.

−9%

capital per worker, 2015 to 2025

Machinery and equipment per worker: −20%.

6.7%

of the population are temporary residents

July 2026. Target: under 5% by the end of 2027.

380,000

new permanent residents planned per year, 2026–28

Plus 385,000 temporary arrivals planned in 2026.

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: Statistics Canada, The Daily (Mar 27, 2024; Feb 28, 2025; Nov 6, 2025; Sept 2026 population estimates); C.D. Howe Institute, Commentary 699 (Dec 2025); IRCC, 2026–2028 Immigration Levels Plan.

GROUP 10 · THE EDUCATION PARADOX

Canada has one of the world's most educated workforces, yet lags on management and R&D

Canadians hold more post-secondary credentials than almost anyone, but that hasn't translated into matching productivity.

64% vs 41%

of adults aged 25–64 with a college or university credential: Canada vs OECD

2025. U.S.: about 51%.

5th of 20

Canada's rank on management practices in manufacturing

World Management Survey. The U.S. ranks 1st.

26% vs 11%

of degree holders overqualified: immigrants with foreign degrees vs Canadian-born

2021 Census.

271 vs 259

adult literacy score: Canada vs OECD average

2023. Numeracy: 271 vs 262.

1.8% vs 2.7%

R&D spending as a share of GDP: Canada vs OECD average

2022.

YOUR TASKS 1 AI opportunity · 2 AI adoption challenge · 3 AI strategy design (pass the AI test; check the eight criteria)

Sources: Statistics Canada, The Daily (Mar 25, 2026; Nov 30, 2022; Dec 10, 2024); OECD, Education at a Glance 2025; Bloom, Genakos, Sadun and Van Reenen, "Management Practices Across Firms and Countries" (World Management Survey); Statistics Canada, GERD 2022.

GROUP 11 · HOUSES AND PENSIONS

Canadian capital flows heavily into housing, and the big pension funds invest mostly abroad

Housing, household debt and pension portfolios: where Canadian savings go.

8.3% vs 4.2%

residential investment as a share of GDP: Canada vs U.S.

Average, 2018–2023.

176%

household debt as a share of disposable income

Q2 2026.

~70%

of chartered banks' loans to individuals are mortgages

2024.

$2.7T

in assets held by Canada's eight largest public pension funds

Latest annual reports.

12%

of CPP Investments' assets are in Canada

September 2025. It was 74% in 2005.

<4%

of the large pension funds' assets are in Canadian public equities

End of 2023. It was 28% in 2000.

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Sources: C. Lammam, via The Hub (May 2026); Statistics Canada, The Daily (Sept 11, 2026) and 11-621-M (2024); Maple 8 annual reports (compiled); CPP Investments, via Fraser Institute (2026); open letter from Canadian CEOs (2024).

GROUP 12 · INDIGENOUS RIGHTS AND DATA

Indigenous rights shape how land, resources and data can be used in Canada

The rights of First Nations, Inuit and Métis peoples are protected in the Constitution, and Indigenous organizations have set out their own principles for governing their data.

Section 35

Existing Aboriginal and treaty rights are "recognized and affirmed"

Constitution Act, 1982. Covers First Nations ("Indian"), Inuit and Métis peoples.

Duty to consult

Before acting in ways that may affect Aboriginal rights, the Crown must consult

And, where appropriate, accommodate. Haida Nation, Supreme Court of Canada, 2004.

2021

UN Declaration on the Rights of Indigenous Peoples Act

Federal laws must be made consistent with the Declaration; action plan in 2023.

OCAP®

First Nations principles for their data: Ownership, Control, Access, Possession

Inuit (2018) and Métis (2025) organizations have their own data strategies.

1.8M · 5%

Indigenous people, 5% of Canada's population

2021 Census. Average age 33.6 vs 41.8; grew 9.4% vs 5.3% (2016–21).

66% vs 96%

of households with 50/10 broadband: First Nations reserves vs all Canada

2024.

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Sources: Constitution Act, 1982, s. 35; Haida Nation v. British Columbia, 2004 SCC 73; Justice Canada; First Nations Information Governance Centre (OCAP® is a registered trademark of FNIGC); Inuit Tapiriit Kanatami (2018); Métis National Council (2025); Statistics Canada, 2021 Census; CRTC (Mar 2026).